WAVERLEY GATEWAY GUIDE

Connecting International Capital

FRANCE

Europe

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office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Paris and Île-de-France	Capital region and Europe's leading destination for foreign investment projects, with 233 projects in 2025; home to government, the Banque de France and most international headquarters	Finance, headquarters, AI and software, business services, luxury
Hauts-de-France (Lille, Dunkirk)	Northern industrial region chosen by SoftBank for its €45 billion AI data-centre commitment, with access to low-carbon nuclear power and North Sea ports	AI and data centres, energy-intensive industry, logistics
Auvergne-Rhône-Alpes (Lyon, Grenoble)	Second-ranked region, creating almost as many jobs from foreign investment in 2025 as the capital region	Chemicals, life sciences, semiconductors, advanced manufacturing
Grand Est (Strasbourg, Metz)	Border region with Germany, Luxembourg, Belgium and Switzerland that performed strongly for foreign investment in 2025	Automotive, logistics, industrial production
Normandy (Penly)	Planned site of the first pair of EDF's new EPR2 nuclear reactors, with civil engineering contracts already awarded	Nuclear construction, engineering, energy services
Occitanie (Toulouse)	Centre of the European aerospace industry and home of Airbus	Aerospace, space, defence, engineering
Provence-Alpes-Côte d'Azur (Marseille-Fos)	Mediterranean gateway port linking France with southern Europe, North Africa and Asia	Port logistics, energy, industry, tourism

INVESTOR ENTRY ROUTES

- Business France (Invest in France) provides free support for foreign investors, from site selection to incentives, and runs the annual Choose France summit, which attracted a record €93 billion of pledges in June 2026
- A 25% standard corporate income tax rate, with a 15% rate on the first €42,500 of profit for qualifying SMEs; a temporary surtax on the largest companies was extended for 2026 with a €1.5 billion turnover threshold
- Research and innovation incentives, including the research tax credit and the France 2030 investment plan, supporting R&D, industrial decarbonisation and strategic technologies
- Euro-area membership: the euro is the national currency, with free movement of capital under EU rules

- EU single-market and Schengen membership, giving goods, services, capital and people free movement across the EU
- Foreign investment screening by the Ministry of the Economy applies to acquisitions in sensitive sectors such as defence, energy and critical technologies; early engagement keeps approvals predictable
- Regional development agencies and industrial sites in each region offer local incentives, land and recruitment support

MARKET-ENTRY OBSERVATION

France in November 2026 remains Europe's leading destination for foreign investment, combining the EU's second-largest economy with a deep talent pool, world-class infrastructure and almost entirely low-carbon electricity. The EY Attractiveness Survey recorded 852 foreign investment projects in 2025, ahead of the UK (730) and Germany (548), making France first in Europe for the seventh consecutive year; 42% were industrial projects, AI projects rose 26%, and 38% of international executives rate France the most attractive European country. The Choose France summit in June 2026 brought a record €93 billion of pledges from 71 groups, led by SoftBank's €45 billion commitment to AI data centres in Hauts-de-France. GDP grew 0.9% in 2025, ahead of government expectations, and EDF's six-reactor EPR2 programme, estimated at €72.8 billion, anchors a long-term pipeline of energy investment.

France's main structural challenge is restoring its public finances while sustaining growth. Public debt stands at about 119% of GDP, the deficit is projected at 5.4% of GDP in 2026, and the government's 2027 budget targets 5% through €54 billion of savings, to be negotiated in a parliament without a clear majority. Growth has also softened, with GDP slipping 0.1% in the third quarter of 2026 as investment and trade weakened, while inflation rose to 3.4% in October 2026 on higher energy prices. France's strengths remain considerable: a large and diversified economy, deep capital markets, euro-area membership and access to ECB policy, and a clear multi-year path back towards a 3% deficit. For investors, consolidation creates opportunities in efficiency, energy and private finance for infrastructure, and the April 2027 presidential election offers a defined point for policy clarity.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
High public debt and deficit	Debt of about 119% of GDP and a projected 2026 deficit of 5.4% require sustained consolidation and can raise borrowing costs	France's deep capital markets and euro membership support financing; model a range of tax and spending outcomes from the 2027 budget
Political fragmentation and the 2027 election	The government lacks a clear parliamentary majority, and the presidential election falls on 18 April and 2 May 2027	Institutions and EU rules provide continuity; time major commitments around budget and election milestones and engage across parties
Corporate tax changes	A surtax on the largest companies was extended for 2026, and its future in the 2027 budget is still being debated in parliament	Most firms are unaffected; track the final 2027 finance law and take tax advice on group structures
Slower growth and higher inflation	GDP fell 0.1% in the third quarter of 2026 and inflation reached 3.4% in October, driven by energy	Household consumption is still rising; build energy and wage scenarios into plans, and use France's low-carbon power to manage energy costs
Labour regulation and costs	Employment law and social charges are more demanding than in some EU peers	Use regional agencies and Business France for recruitment and training support, and take early local employment advice
Foreign investment screening	Acquisitions in defence, energy, critical technologies and other sensitive sectors require prior approval	Engage the Ministry of the Economy early; most projects proceed, often with commitments on security of supply
Nuclear programme timelines	The EPR2 programme still needs a final investment decision, EU state-aid clearance and a confirmed budget	Position early as a supplier while tracking EDF's decision, expected by end-2026, and the European Commission review

INVESTOR RISK NOTE

France's risk profile is that of a large, diversified and highly developed EU and euro-area economy with strong institutions, the rule of law and a long record as Europe's top destination for foreign investment projects. As a founding member of the EU and of the Financial Action Task Force, it offers investors legal certainty, a mature financial system and full access to the single market. The main issues are fiscal: public debt of about 119% of GDP and a deficit projected at 5.4% in 2026 mean continued consolidation, with a 2027 budget targeting 5% still being negotiated in a fragmented parliament. Growth has slowed and inflation rose to 3.4% in October 2026, while the ECB, which held its deposit rate at 2.50% on 29 October 2026, is managing energy-driven price pressures. The presidential election of April and May 2027 is the key political milestone. None of these issues restricts lawful investment, and investors can manage them through scenario planning, tax advice and early engagement with government.

MARKET ACCESS

As a founding member of the EU, France gives investors tariff-free access to the EU single market of some 450 million consumers and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Euro-area and Schengen membership remove currency and border frictions with most of its neighbours, and Germany, Belgium, Italy and Spain are among its closest trading partners. France has Atlantic, Channel, North Sea and Mediterranean coastlines, with major ports at Le Havre, Dunkirk and Marseille-Fos, high-speed rail links to London, Brussels and other European capitals, and strong ties with francophone Africa. Its largely nuclear power system makes it a net exporter of electricity, an advantage for energy-intensive investors and data centres.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency (President Emmanuel Macron) and Prime Minister's office (Sébastien Lecornu)	Set economic, fiscal and industrial strategy; the President hosts the Choose France summit	Primary reference point for strategic direction and flagship projects
Business France (Invest in France)	National agency for foreign investment and export promotion, supporting investors from first contact to implementation	Standard first point of contact for market entry, sites and incentives
Banque de France (Governor Emmanuel Moulin)	Part of the Eurosystem; its governor sits on the ECB Governing Council, and it oversees banking supervision with the ECB	Relevant for banking, payments and financial-sector matters
Ministry of the Economy and Finance (Minister Roland Lescure)	Leads the budget, tax policy and foreign investment screening	Key counterpart on tax, fiscal and approval matters
EDF	State-owned power utility leading the six-reactor EPR2 programme and the existing nuclear fleet	Essential partner for nuclear, power and energy-infrastructure engagement
Bpifrance	Public investment bank financing and co-investing in companies, innovation and industrial projects	Co-investment and financing partner for growth and industrial projects
Autorité des marchés financiers (AMF)	Regulator of the Paris financial markets	Relevant for listings, funds and capital-markets activity

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in France, the Franco-British Chamber, the French-German Chamber of Commerce and Industry and the national network of Chambers of Commerce and Industry are the main business associations, with active sector committees and regular dialogue with government. MEDEF represents French employers, and Business France and regional development agencies run investor events, culminating in the annual Choose France summit at Versailles. Bpifrance, the European Investment Bank and the Caisse des Dépôts provide

co-financing for qualifying projects, and France 2030 calls for projects offer support in strategic sectors. Embassies of major partners maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

France suits investors seeking scale, talent and stability inside the EU and the euro area: AI and data-centre investors drawn by low-carbon power and the record Choose France commitments; manufacturers in aerospace, automotive, chemicals and life sciences serving European markets; energy and infrastructure investors targeting the EPR2 nuclear programme, grids and renewables; and financial, software and headquarters functions in Paris. Investors in sensitive sectors should plan for foreign investment screening, and all investors should factor the 2027 budget and election into their timing.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Business France and the relevant regional agency
Open direct dialogue on site options, incentives and recruitment support, and consider the Choose France process for large commitments.

STEP 2: Shortlist regions and sites
Compare Île-de-France for headquarters and services with Hauts-de-France, Auvergne-Rhône-Alpes and Grand Est for industry, energy and logistics.

STEP 3: Map innovation and co-financing support
Assess the research tax credit, France 2030 calls and Bpifrance financing for R&D, decarbonisation or strategic-technology components.

STEP 4: Plan for fiscal and political milestones
Track the 2027 finance law, including the large-company surtax, and the April–May 2027 presidential election in financial models.

STEP 5: Check screening requirements early
Confirm whether an acquisition falls within foreign investment screening and engage the Ministry of the Economy before signing.